

Dan, as per my voice-mail, I talked to Hunter and he confirmed that Enron would notify BP/Crestar via e-mail by 9:45 MST of the contracts with associated volumes. On the chance that Enron cannot notify BP/Crestar or fails to take, and BP/Crestar incur penalty costs then Enron would pay for those as per point number #2 below ie.,

[(2) Add a clause to either the Enron agreement or the Gulf assignment agreement to state if Enron fails to inform and/or take, then any penalty costs/price difference incurred by Crestar/BP shall be passed onto Enron.]

Hunter agreed as long as there is a reciprocal clause that Enron is compensated when BP/Crestar fail to nominate by the 10:30am MST Timely cycle deadline and Enron incurs costs, then BP/Crestar would pay those costs.

Crestar and BP both agree with the reciprocal cost provisions. Now it is a matter of where the language should go. I think it should be in the Enron contract.

Please advise if you agree and how we should proceed to include the language in the Enron contract.

Thanks,

Bruce Kohrs

Phone: (403)205-7684

Fax: (403)266-1947

e-mail:bruce_kohrs@keyspancanada.com

----- Forwarded by Bruce Kohrs/Keyspan/ca on 04/04/2001 03:54 PM -----

Bruce Kohrs

To: dan.j.hyvl@enron.com, grant.oh@enron.com

04/03/2001 cc: Brian Houghton/CRESTAR1/Crestar Energy@Exchange, Michael

03:48 PM Kleiner/CRESTAR1/Crestar Energy@Exchange, Jim Pearson/Keyspan/ca@Keyspan, Gerry Kurtz/Keyspan/ca@Keyspan

Subject: Re: Crestar AOS assignment to BP

Grant, I think you need to get involved and explain to Patrice's people the agreement we have in place currently. Mark does not give us the information via e-mail on a consistent basis by 9:45am, however the agreement states that. To date Crestar has been accomodating to Enron but once BP comes into the AOS agreement the 9:45am deadline will need to become more formal.

Gentlemen, please advise what Enron's position is. I think Mark's last comment on same makret vevyday would accomodate the default contract number request we originally had in the agreement.

----- Forwarded by Bruce Kohrs/Keyspan/ca on 04/03/2001 03:43 PM -----

Mark.L.Schrab

@enron.com To: Patrice.L.Mims@enron.com, Lisa.Kinsey@enron.com

cc: Bruce_kohrs@keyspancanada.com

04/03/2001 Subject: Re: Crestar AOS assignment to BP
03:01 PM

Patrice:

I am unable to commit to knowing what our downstream contracts will be by the 10:45 deadline that they have set fourth. In the event that we sell to a market at the point and there is a long daisy chain involved we may not get the ultimate downstream contract until 11:15 or sometimes even intra-day. I will make every effort to get the downstream info. to BP/Crestar/Gulf Canada however, I do not think we should take penalties if our markets are slow providing us the information.

The only solution would be to take our supply to the same maket every day.

Thanks,
Mark

Patrice L Mims
04/03/2001 03:22 PM

To: Mark L Schrab/HOU/ECT@ECT, Lisa Kinsey/HOU/ECT@ECT
cc:
Subject: Crestar AOS assignment to BP

----- Forwarded by Patrice L Mims/HOU/ECT on 04/03/2001
03:13 PM -----

"Bruce Kohrs" <Bruce_Kohrs@keyspancanada.com> on 04/03/2001 01:06:43 PM

To: dan.j.hyvl@enron.com, <patrice.l.mims@enron.com>
cc: hunters.shively@enron.com, grant.oh@enron.com,
Brian_Houghton/CRESTAR1/Crestar_Energy%Exchange
<Brian_Houghton@keyspancanada.com>,
Michael_Kleiner/CRESTAR1/Crestar_Energy%Exchange
<Michael_Kleiner@keyspancanada.com>, "Jim Pearson"
<Jim_Pearson@keyspancanada.com>, williaxh@bp.com
Subject: Crestar AOS assignment to BP

Dan, Grant Oh suggested I e-mail you directly to notify you of a change that BP needs included. BP states they need to have the volumes/contract number information back from Enron via e-mail by 9:45am MST in order to place nominations by 10:30am MST for the Timely Cycle. If for whatever reason Enron cannot provide the volume/contract number information by 9:45am or Enron fails to take the scheduled volume agreed to at 9:00am; and BP incurs any penalty costs including the price difference between the Enron price and the replacement price, then Enron should be liable for these costs NOT Gulf. I suggest the following options:

- 1) Put back in the default contract number in the Enron/Crestar agreement as we had last week, this way if Enron fails to notify by 9:45am, then Crestar/BP can nominate to the default contract number and Enron can change the contract numbers internally.
- 2) Add a clause to either the Enron agreement or the Gulf assignment agreement to state if Enron fails to inform and/or take, then any penalty

costs/price difference incurred by Crestar/BP shall be passed onto Enron.

Please advise what Enron's position is and how we should proceed.
